

Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

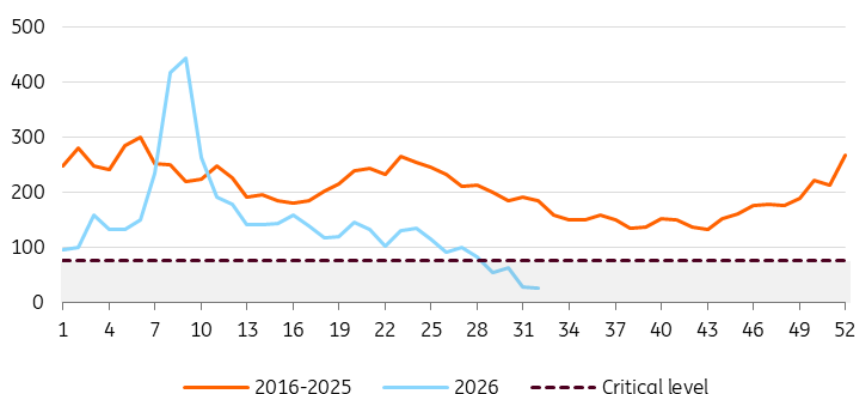
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

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You'll learn:

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- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

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Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Jan Frederik Slijkerman

Senior Sector Strategist, TMT

jan.frederik.slijkerman@ing.com

Coco Zhang

ESG Research

coco.zhang@ing.com

Rebecca Byrne

Deputy Global Head of Editorial and Supervisory Analyst

rebecca.byrne@ing.com

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ROMANIA

The Danube runs dry: Romania's latest macro stress test

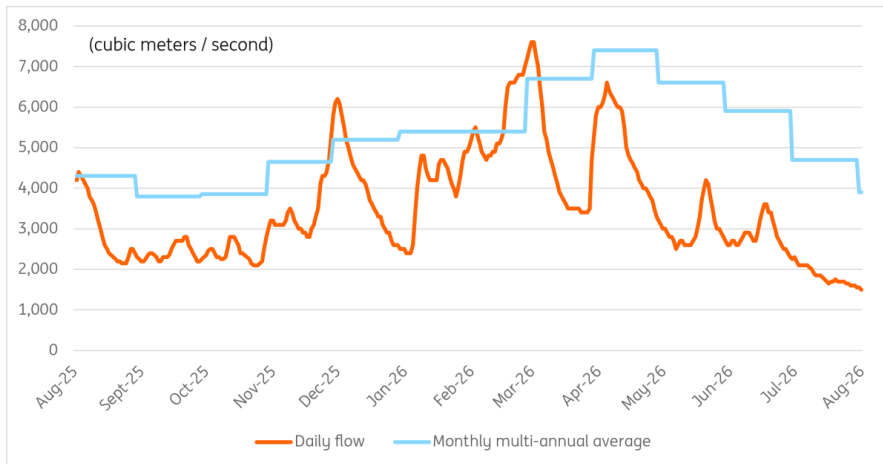
Record-low water levels on the [Rhine](#) show that climate risks are no longer exceptional shocks to otherwise predictable supply chains. As [Germany's](#) experience shows, major waterways are more than just transport routes; they are enablers of industrial activity. On the Danube, Romania faces a test of its power system, industry and trade infrastructure



The Danube in Romania, with extensive exposed sandbanks

At Baziaş, where the Danube enters Romania, river flow fell to 1600 cubic metres per second on 31 July, compared with a normal July average of 4700 cubic metres. It has since dropped further to 1500 cubic metres. Shipping has been partially disrupted, irrigation restricted and several ferry services suspended. The authorities have also had to manage reservoir levels to preserve cooling water for the Cernavodă nuclear power station.

Danube water flows: mind the gap



Source: National Institute of Hydrology, ING

In isolation, low river levels would probably be a manageable sectoral shock. What gives the current episode macroeconomic significance is its timing. Romania entered the second half of 2026 with the economy stagnant at best, industrial production in prolonged decline and inflation still high. We expect GDP to contract by 0.5% this year, after growth of only 0.7% in 2025. With such weak numbers, there is almost no cyclical cushion to absorb another supply shock.

An energy emergency with a long history

The most immediate pressure has come through electricity. Cernavodă normally supplies roughly one-fifth of Romania's power. As Danube levels fell below the thresholds needed for cooling operations, one of the plant's two reactors was disconnected from the grid. The government subsequently declared a nationwide state of emergency for August and allocated funding for temporary works to redirect water towards the remaining operating reactor. On 3 August, the Romanian military used controlled explosions to remove a rock formation obstructing the necessary works.

That is an extraordinary response, but it should not be mistaken for an energy strategy. Blasting rock out of a riverbed may keep a reactor operating for a few more days, but it does not create new generation capacity, reinforce cross-border interconnections or accelerate storage deployment. The government has acknowledged that limited interconnection capacity with Central and Western Europe reduces Romania's ability to cover the shortfall through imports.

The drought exposes a more uncomfortable truth. Romania's current emergency measures are addressing not only an extreme summer, but also decades in which essential energy investments were delayed, redesigned or left at the planning stage. The country has a

comparatively balanced generation mix, combining hydro, nuclear, fossil fuels, wind and solar. Yet diversity of technologies does not always mean diversity of risks. Nuclear cooling, hydroelectric production, river transport and parts of agriculture all depend on the same increasingly unreliable water system.

Meanwhile, the energy transition has progressed unevenly. Solar capacity, including that of prosumers, has increased rapidly, but flexible generation, storage and stronger interconnections have not expanded at the same pace. Plans for new nuclear units, reactor refurbishment, gas generation and grid upgrades have existed for years. The present crisis is therefore part climate shock and part implementation deficit. Today's improvised engineering works are, in effect, compensating for yesterday's missed investment decisions.

For the macro outlook, the key transmission channel is not necessarily a prolonged physical shortage of electricity. It is the price and confidence effect. When stable nuclear supply falls just as heat pushes demand higher, Romania must rely more heavily on imports and higher-cost domestic generation. That adds pressure to margins and threatens another round of electricity cost pass-through. It comes at a time when inflation has remained around 10.0% for the last four quarters, and energy-price liberalisation is already part of the inflation story. Our current forecast sees inflation ending 2026 at around 6.0%, but a persistent power shock would make that path less certain.

Industry did not need another shock

The energy squeeze is hitting an already weak industrial sector as well. Industrial production fell by 3.1% year-on-year in January–May 2026, while manufacturing declined by 4.3%. This is more than a temporary cyclical downturn. Romanian industry has struggled since before the pandemic, reflecting weak Western European demand, financing and energy costs, ageing capital stock and persistent competitiveness constraints.

The decision by Dacia and Ford automakers to pause production until 19 August reduces electricity demand by around 200MW, according to the prime minister. The distinction between emergency curtailment and normal scheduling is important: Ford said that its summer holiday stoppage had been planned in advance. Nevertheless, the fact that the authorities are relying on large manufacturers to help balance the system illustrates the limited short-term alternatives available.

The direct GDP hit from several weeks of lower automotive output should not be overstated. Some lost production may be recovered later, and the summer period is normally affected by maintenance and holidays. But the broader signal is that energy-intensive manufacturers are being asked to act as the power system's informal shock absorber at a time when industrial margins and investment appetite are already under pressure.

This reinforces a split currently visible in Romania's economy. Manufacturing is contracting,

while construction is growing strongly on the back of infrastructure works and EU-funded investment. Construction output rose by 11.3% year-on-year in the first five months of 2026, helping to prevent a deeper downturn. That support is valuable, but it cannot indefinitely substitute for a competitive tradable sector. Romania needs roads, railways and energy infrastructure to lift industrial potential, not merely to keep headline GDP afloat.

The Danube loses some of its cost advantage

Low water reduces the navigable depth of the Danube, forcing vessels to carry lighter loads, wait for improved conditions or transfer cargo to road and rail. On parts of the Bulgarian-Romanian stretch, cargo vessels have reportedly been operating at around half capacity because of draft restrictions, while low-water surcharges have been introduced. In Romania, idle grain barges and suspended ferry services have already been reported.

This matters because the Danube is more than a national waterway. Together with Constanța and the Danube-Black Sea Canal, it forms part of a strategic corridor connecting Central Europe, the Black Sea, Ukraine and Moldova. The corridor has become more important since the war in Ukraine started, particularly for agricultural exports and regional supply-chain resilience. When barge capacity falls, the consequences include higher transport costs, congestion on alternative routes and reduced reliability precisely when companies are being encouraged to diversify logistics networks.

Romania still has a strong strategic position. Schengen membership, motorway development, the port of Constanța and the final push to complete EU-funded transport projects could strengthen the country's role as a regional logistics and production platform. But low Danube levels provide a useful warning: building individual assets is not enough. Romania also needs redundancy between river, rail and road, reliable access to Black Sea capacity and infrastructure designed for a climate in which low-water episodes are likely to be more disruptive. The wider Danube basin authorities already identify longer and more frequent summer droughts, together with water scarcity affecting agriculture, energy and navigation, as a structural adaptation challenge.

The macro effect: stagflationary, but manageable

The drought alone is unlikely to change Romania's annual GDP trajectory dramatically. Its effects may also be partially reversible if river levels recover and industrial production is rescheduled. But it is nevertheless a stagflationary shock: it reduces output while raising electricity, transport and potentially food-production costs.

The economy is especially sensitive because domestic demand has already weakened sharply. GDP fell by 1.2% year-on-year in the first quarter with household consumption declining by 1.8%. Employment has also fallen from its early-2025 peak. Under normal circumstances, weaker demand would help bring inflation down, but the Danube shock complicates that

adjustment by adding supply-side price pressures.

One positive feature of the current macro mix is that EU-financed investment is providing a buffer. Investment rose by 2.2% year-on-year in the first quarter, while EU-funded public investment increased strongly during the first half. Romania is also approaching the final stage of its Recovery and Resilience Facility programme, with the fifth and sixth payment requests expected in August and September. If execution remains on track, 2026 could bring historically high EU inflows.

That makes the composition of investment more important than ever. The last-mile RRF push should not be judged only by how much money is absorbed before the deadline. Its success should also be measured by whether projects reduce the economic cost of the next drought. Energy networks, storage, interconnections, irrigation, rail links, port access and navigability are not separate policy files. They are components of the same resilience strategy.

A warning that should survive the summer

The Danube drought will not derail Romania's economy, but an economy already in stagnation has very little room for avoidable shocks. Each individual disruption may look small: a reactor offline, a temporary factory stoppage, a lighter barge or a suspended ferry. Together, they expose the same structural weakness. Romania has spent years relying on favourable geography and a diversified energy mix without investing enough in the systems that make those advantages resilient.

The emergency response can preserve supply this summer but it cannot substitute for a serious long-term energy and transport strategy. The policy test begins after the water returns: whether Romania treats the episode as an exceptional natural event, or as a warning that climate adaptation, energy security and industrial competitiveness have become the same macroeconomic issue.

Author

Valentin Tataru

Chief Economist, Romania

valentin.tataru@ing.com

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Article | 3 August 2026

FX

Washington joins the fight for the yen

US and Japanese authorities have confirmed that they have jointly intervened in FX markets to support the yen. Joint intervention is rare and points to new FX activism from the US Treasury. Yet a successful turn lower in USD/JPY will require softer US data, no Fed hikes and possibly some new initiatives from Japan to keep more money at home



The US dollar has weakened sharply against the Japanese yen after market intervention

Q: What's happened?

Reports over the weekend suggest US and Japanese authorities have jointly intervened to support the yen. This marks the first coordinated G7 FX intervention since March 2011 following Japan's earthquake and tsunami, and the first joint US-Japan yen-buying intervention since June 1998, when USD/JPY was approaching 150 during the Asian financial crisis.

Tokyo appears to have remained an aggressive seller of USD/JPY. Intervention on Thursday and Friday alone may have totalled close to \$80bn, exceeding the scale of operations seen in late April, and further intervention may have been conducted today. On the US side, reports suggest the Federal Reserve was checking rates in EUR/JPY and may have been selling euros against the yen, although it remains unclear whether US authorities have also been directly

selling USD/JPY.

Questions also remain over the scale of US participation. *Reuters* published a photograph of Treasury Secretary Scott Bessent's handwritten notes referencing plans to purchase \$5-10bn of yen. In practice, we suspect the amounts deployed may prove smaller. Unlike Japan, the US holds only limited foreign exchange reserves, meaning the signalling effect of intervention is likely to matter more than the volume of flows.

The US holds roughly \$38bn of foreign currency reserves, split broadly evenly between the Treasury's Exchange Stabilization Fund (ESF) and the Federal Reserve's System Open Market Account (SOMA). Around 70% of those reserves are held in euros, with the remainder invested in yen-denominated assets.

Q: Why now?

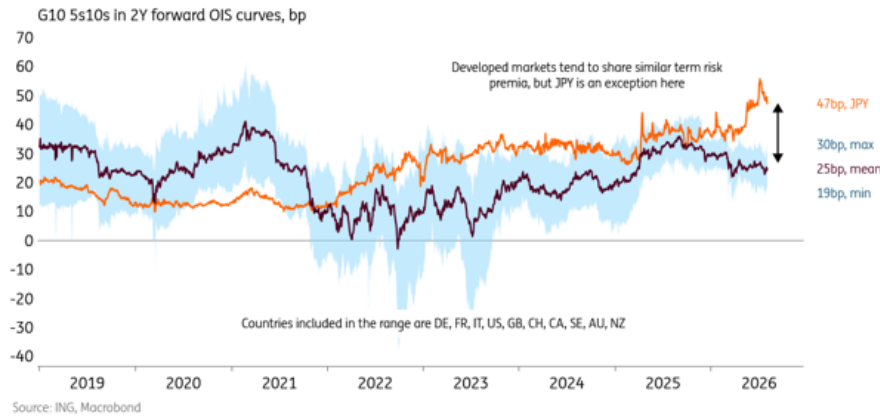
Joint intervention has not come as a complete surprise since the Fed did check the USD/JPY rate back in January. Bessent has been supportive of Japanese intervention for a while and has acknowledged that the yen is very undervalued.

Perhaps Washington felt that Tokyo required some help with the heavy-lifting of the yen, since April/May's \$70bn of FX sales had failed to prevent USD/JPY from trading to a new high at 164. That yen weakness was seen contributing to Japan's 30% year-on-year increase in import prices and, in turn, weighing on JGBs.

Also, in the rates space, the nervousness from investors about Japan has been mounting since the start of the year. The 10Y JGB is trading at the highest yield since the 90s and the momentum is clearly there to move higher still. And this is not just an inflation story – real rates rose more rapidly over the past year than break-evens.

Instead, we argue that investors are also increasingly demanding a risk premium to hold JPY rates, adding upward pressure to 10Y JGB yields. In the figure below, you can see that the slopes (in 2Y forwards) of most G10 currency swap curves tend to trade very closely together, especially in recent years. The JPY curve is the exception here. The much steeper curve is evidence that investors are demanding a higher return for exposures to Japanese rates.

Investors are demanding an increased term risk premium for holding JPY rates



Source: ING, Macrobond

Did Washington feel that the JGB sell-off was undermining Treasuries as well? The higher risk premium of JPY does not immediately trigger large spillovers to markets abroad, but the selling of UST holdings by Japan would pose a more material risk. Japan is one of the largest foreign investors with holdings of around \$1.1tr. However, there have been reports today that Japan could use the Fed's FIMA repo facility to raise intervention dollars against its Treasury collateral, rather than selling those securities. Yet, the single counterparty limit there is \$60bn, which could be quickly consumed.

When looking at historical flows data, we see that Japanese investors tend to buy USTs when relative FX-hedged yields are attractive. With a steeper JPY curve, the relative value turns away from USTs, in favour of JGBs. With the record US deficit unlikely to be addressed anytime soon, foreign buyers will need to play an important role to prevent UST yields from breaking higher.

Q: Will the US try to get the rest of G7 and G20 on side?

For now, intervention remains a bilateral US-Japan operation. A more powerful signal would come from broader G7 or G20 backing. The next opportunity arrives at the G20 Finance Ministers and Central Bank Governors meeting in Asheville, North Carolina, from 31 August to 1 September, where Washington could seek wider endorsement for efforts to stabilise the yen.

We think the chances of securing explicit multilateral support are low. The challenge is that many G20 members are likely to view yen weakness not as a case of market dysfunction, but as the consequence of Japan's own policy mix. Loose fiscal policy, still-accommodative monetary settings and the Takaichi government's growth agenda have all contributed to a weak yen environment. Against that backdrop, other countries may be reluctant to commit political capital or market credibility to a coordinated campaign to strengthen the currency.

Indeed, a formal G20 statement backing yen appreciation would be difficult to reconcile with the longstanding G20 principle that exchange rates should be market-determined. While policymakers may endorse efforts to address excessive volatility or disorderly market conditions, explicit support for a stronger yen appears a much higher hurdle.

Q: Does this represent a new era of US FX activism in global financial markets?

Confirmation of US Treasury purchases of yen would come less than a year after Washington's intervention to support the Argentine peso. In October 2025, the Treasury extended a \$20bn ESF-backed swap facility to Argentina and subsequently used the Exchange Stabilization Fund to help stabilise the peso ahead of the country's mid-term elections. Argentina ultimately drew around \$2.5bn from the facility and repaid the amount in full before year-end.

Taken together, the Argentine and Japanese episodes suggest a Treasury that is becoming more willing to use the ESF in support of broader economic and geopolitical objectives. That marks a notable departure from the relative passivity that has characterised US foreign exchange policy for much of the last two decades.

The comparison should not be taken too far. Argentina was facing an acute balance-of-payments challenge and severe pressure on its currency, whereas Japan remains one of the world's largest creditor nations. If anything, Washington's willingness to support the yen reflects a view that the currency has moved substantially below levels justified by economic fundamentals. On that point, we share Bessent's view that the yen remains materially undervalued.

Q: Will intervention be successful?

With his long experience in currency markets, Bessent will appreciate that macro fundamentals ultimately dominate exchange rates. FX intervention can smooth disorderly market conditions and alter market psychology at the margin, but its primary function is typically to buy time rather than engineer a lasting shift in trend.

Japan's intervention campaign in the summer of 2024 illustrates the point. Those operations proved effective not because of their size alone, but because they coincided with a genuine turn in the US rate cycle as softer economic data paved the way for three 25bp Federal Reserve rate cuts later that year.

The same lesson applies today. The success of this latest intervention effort will depend less on how many yen authorities purchase and more on whether US economic data soften sufficiently to prevent further Fed tightening. That remains ING's central view and underpins our forecast for USD/JPY to decline to 158 by year-end and 152 by end-2027.

Those looking for an aggressive Bank of Japan tightening cycle to reinforce yen strength may be disappointed. The Takaichi government's emphasis on growth suggests the BoJ will remain cautious in withdrawing accommodation. In our view, more promising support for the yen could come from policies designed to redirect domestic savings back into Japanese assets.

This is where developments around NISA merit close attention. The 2024 NISA reforms encouraged substantial retail investment into overseas equities, contributing to persistent capital outflows and a weaker yen. Any future adjustments that broaden the appeal of domestic assets, including greater access to instruments such as JGBs, could help reverse some of those flows.

Ultimately, intervention can create an inflection point, but it cannot overturn fundamentals. A sustained move lower in USD/JPY will require narrower US-Japan rate differentials and a softer US economic backdrop. Without that, even coordinated intervention risks being remembered as another attempt to slow the dollar's rise rather than reverse it.

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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UNITED STATES

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Financial markets are expecting a Federal Reserve rate hike to come as soon as September. But what if investors have got it the wrong way around? How could inflation surprise us, and what would it mean for the dollar?

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Details

Date: Thursday 6 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Note: If you registered for or attended our recent webinar on oil prices, you'll automatically be signed up for this event and future events in our What if? series. Add it to your calendar by following the instructions [on this page](#)

Speakers

- **James Smith** (Developed Markets Economist)
- **James Knightley** (Chief International Economist)
- **Francesco Pesole** (FX Strategist)

Author

James Smith

Developed Markets Economist, UK
james.smith@ing.com

James Knightley

Chief International Economist, US
james.knightley@ing.com

Francesco Pesole

FX Strategist
francesco.pesole@ing.com

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Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

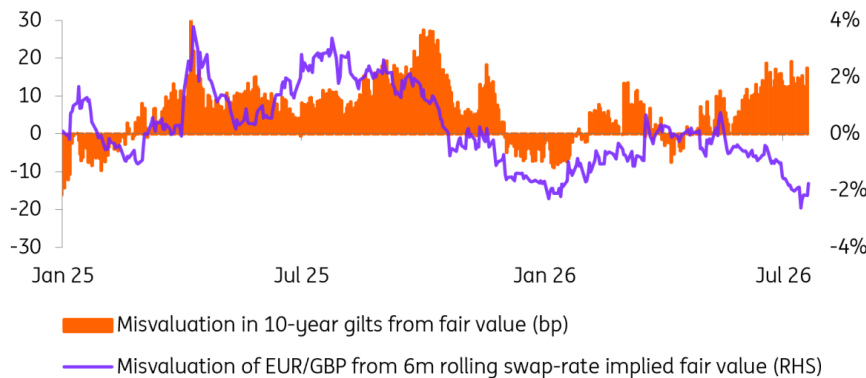
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



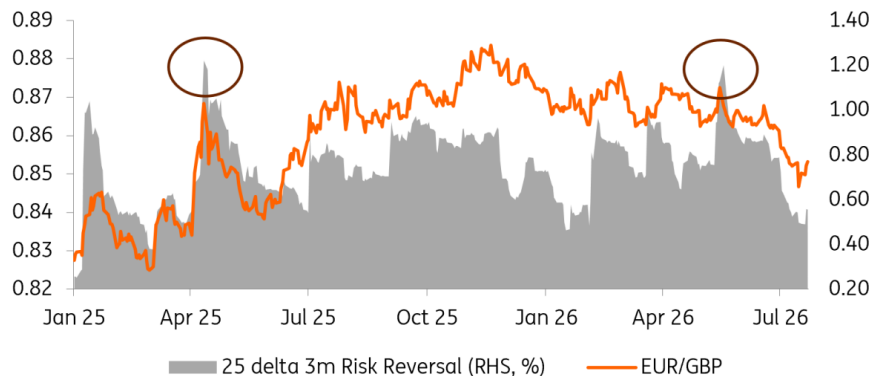
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



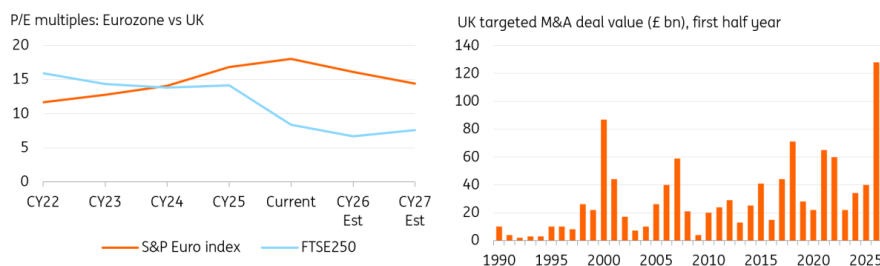
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

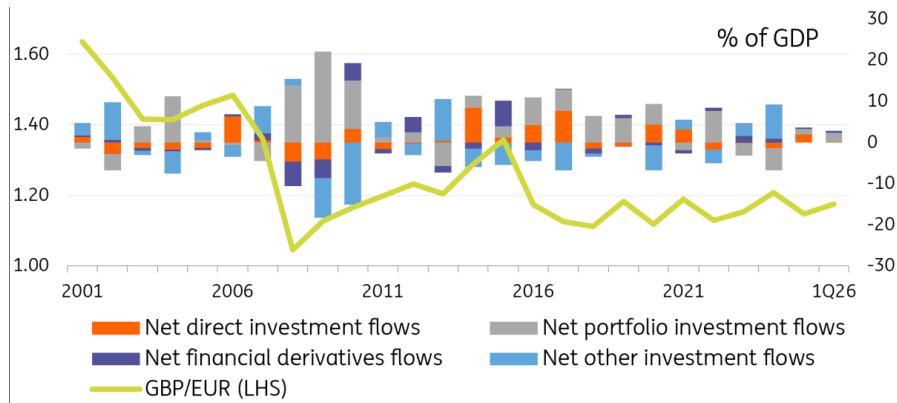


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

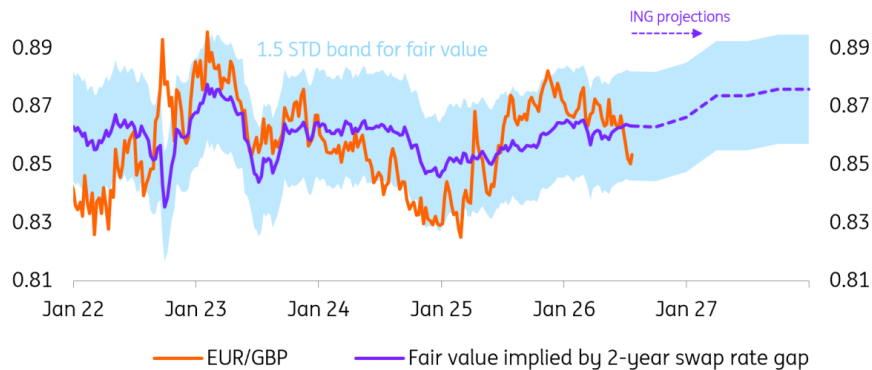
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

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Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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3 August 2026
Credit Strategy

Supply for July (US\$bn)

	Corporates	Financials
July	83	65

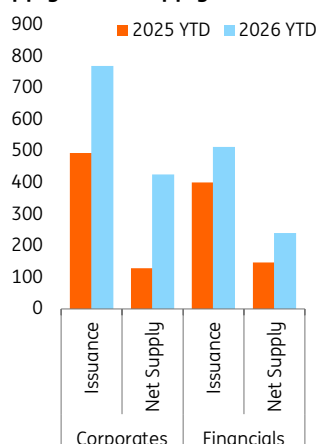
Source: ING, Dealogic

Supply FY and YTD (US\$bn)

Corporates	FY	YTD
2020	1168	851
2021	730	463
2022	565	374
2023	650	468
2024	813	541
2025	926	494
2026	770	770
Financials	FY	YTD
2020	530	367
2021	642	384
2022	629	453
2023	546	334
2024	704	479
2025	749	496
2026	604	604

Source: ING, IGM, Dealogic

Supply & Net Supply YTD



Source: ING, IGM, Dealogic

Timothy Rahill
Credit Strategist
timothy.rahill@ing.com

Marine Leleux
Sector Strategist, Financials
marine.leleux2@ing.com

US Dollar Credit Supply

July supply stays strong despite summer period



Strong USD Corporate supply defies the summer lull

- USD corporate supply eased to US\$82.6bn in July from US\$110.7bn in June but was almost three times July 2025's US\$28.5bn. YTD supply reached US\$769.7bn, 56% ahead of last year and second only to 2020. July redemptions of US\$30bn left net supply at US\$52.6bn, lifting the YTD total to US\$425.9bn. Tight spreads, fund inflows and attractive all-in yields continue to support demand.
- TMT dominated July with US\$27.7bn and remains the standout YTD driver at US\$294.6bn, up 206% YoY, reflecting substantial technology funding and capex needs. Utilities added US\$11.3bn and are up 35% YTD, while Healthcare and Industrials are up 122% and 38%. Consumer and Autos lag at -54% and -26%, while Oil & Gas saw no July issuance.
- Reverse Yankees added €5.2bn, lifting YTD supply to €74.1bn and diverting some US issuance into euros mostly in the TMT space. The EUR cost advantage is increasingly issuer- and maturity-dependent as USD spreads tighten. USD corporate ESG issuance added US\$0.7bn, taking YTD supply to US\$8.8bn from US\$2.5bn last year, but still well below the US\$12-22bn recorded over the same period in 2022-24.

Banks' USD denominated bond supply remains stable in July

- Despite the summer period kicking-in, banks remained active on the USD-denominated bond primary market with just over US\$55bn issued. That's only US\$4bn below what we recorded in June and a good US\$15bn ahead of the July 2025 total. Last month's activity brings the USD bank bond supply to US\$471bn in 2026 YTD.
- While we note a slight drop in the senior unsecured and capital segments, covered bond issuances remained stable last month with US\$2bn printed by a Canadian issuer.
- When accounting for all segments of the liability structure, these sustained supply levels allowed the net supply to, not only, remain well in positive territory with US\$27bn, but also stand higher than in June.
- Looking at sustainable issuances, we note a decline in banks' supply with less than US\$1bn printed last month. Alongside the dip, we also record a shift in issuers' preference as, for the first time since February, no green bonds were issued but activity is recorded in the social and sustainable formats. Despite July's decline in sustainable bank bond supply, the YTD level remains well ahead of last year with US\$9.6bn issued, up from the US\$5.4bn in 2025 YTD.

Fig 1 USD corporate supply overview (US\$bn)

	2022	2023	2024	2025	2025 Jul	2026 Jun	2026 Jul	2025 YTD	2026 YTD	% diff
Auto	29	41	59	47	-	1	4	34	25	-26%
Consumer	63	95	84	105	6	2	1	85	39	-54%
Healthcare	72	114	131	104	-	-	5	39	86	122%
Industrial & Chemicals	89	91	115	100	7	26	5	67	93	38%
Real Estate	26	32	41	45	2	2	7	26	25	-3%
TMT	137	92	125	244	7	41	28	96	295	206%
Utility	100	129	148	160	3	27	11	92	125	35%
Oil & Gas	21	34	72	58	2	4	-	31	32	3%
Others	28	22	39	64	2	7	22	24	51	111%

Source: ING, Dealogic

Note: USD supply numbers include just IG corporates from America and Europe.

Fig 2 USD financial supply overview (US\$bn)

	2022	2023	2024	2025	2025 Jul	2026 Jun	2026 Jul	2025 YTD	2026 YTD	% diff
Banks	514	452	512	542	41	59	55	386	472	22%
of which SNP	395	326	343	352	14	31	43	249	309	24%
of which SP	35	58	72	75	12	15	2	59	72	22%
of which Capital	56	50	91	101	15	10	9	67	78	16%
of which Covered	28	18	5	13	0	2	2	10	12	22%
Finance	67	56	120	134	12	22	19	69	93	35%
Insurance	48	38	73	70	3	8	2	42	39	-6%

Source: ING, IGM, Dealogic

Fig 3 USD corporate supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	34.1	45.8	125.7	45.0	44.8	35.2	25.0	51.7	44.9	41.2	65.4	6.0	564.9
2023	47.9	129.0	68.1	31.7	124.3	33.6	28.4	35.7	49.5	27.3	62.6	11.5	649.7
2024	73.5	138.9	82.0	51.4	77.7	58.3	51.1	91.7	88.7	40.6	40.2	19.0	813.1
2025	57.1	97.6	131.8	47.0	74.7	57.4	28.5	77.2	122.2	102.3	108.1	22.6	926.5
2026	56.2	144.4	178.7	99.3	97.8	110.7	82.6						769.7
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	2.8	5.3	69.3	19.1	-8.7	-15.4	-3.2	2.9	4.2	6.4	19.3	-22.9	79.1
2023	9.8	82.0	1.0	-19.9	66.4	-20.5	0.4	1.6	-5.9	3.6	21.1	-15.8	123.7
2024	45.1	94.1	18.9	12.3	34.6	15.7	24.3	51.1	50.3	9.0	-4.7	-6.2	344.5
2025	33.0	63.2	61.1	-12.5	-7.9	-0.8	-7.3	44.6	84.7	61.2	58.8	0.1	378.1
Redemptions	39.3	73.2	74.7	40.9	39.3	46.5	30.0	44.0	42.9	28.7	39.8	27.1	526.2
2026	16.8	71.2	104.0	58.5	58.5	64.2	52.6						425.9

Redemptions shown for 2026 only

Source: ING, Dealogic

Fig 4 USD financial supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	104.0	41.1	101.5	59.4	51.9	31.9	63.1	53.4	29.8	46.2	40.7	6.7	629.4
2023	86.0	35.4	28.3	36.3	32.2	58.4	56.7	30.6	74.1	49.1	47.8	10.9	545.7
2024	107.0	63.9	63.4	54.8	64.8	43.0	82.6	18.0	73.0	62.9	59.2	11.7	704.1
2025	139.9	61.6	48.2	57.9	83.0	49.6	55.8	33.9	78.4	91.6	30.9	18.3	749.1
2026	150.9	51.4	60.8	96.3	79.8	89.2	75.4						603.7
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	23.5	26.6	63.9	19.8	26.6	-9.7	27.1	30.3	-15.4	6.9	19.1	-58.0	160.7
2023	54.6	21.4	-0.6	23.8	7.0	31.9	35.9	21.7	44.5	34.0	37.9	-9.3	302.7
2024	62.2	42.6	14.4	18.4	32.0	13.2	56.0	-1.9	30.3	22.4	28.6	-8.0	310.1
2025	81.9	16.3	10.2	-0.7	53.0	0.9	8.2	1.5	29.4	69.6	7.7	-4.3	273.6
Redemptions	88.2	15.2	44.2	44.4	29.4	50.3	35.8	29.4	49.8	51.1	28.0	60.3	525.9
2026	62.8	36.2	16.6	51.8	50.4	38.9	39.6						296.3

Redemptions shown for 2026 only

Source: ING, IGM, Dealogic

Fig 5 Corporate supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.7	0.0	9.2	1.4	3.5	1.3	3.9						24.9
Consumer	0.2	10.2	8.8	6.9	10.1	2.1	0.5						38.7
Healthcare	0.0	40.8	15.5	3.5	21.5	0.0	5.0						86.3
Industrial	7.4	7.6	31.6	6.9	9.1	26.1	4.5						93.1
Real Estate	1.4	7.2	2.4	2.9	1.2	2.3	7.4						24.8
TMT	23.0	49.4	78.5	57.2	18.2	40.8	27.7						294.6
Utility	11.6	23.4	18.1	9.8	23.0	27.4	11.3						124.5
Oil & Gas	7.0	1.5	9.3	3.0	6.8	4.2	0.0						31.7
Others	0.0	4.4	5.5	7.9	4.4	6.5	22.3						51.0
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.4	0.0	6.1	4.8	0.4	1.3	2.0	5.0	1.4	0.8	4.6	2.8	34.3
Consumer	6.3	23.9	6.4	7.3	1.0	10.2	7.6	5.1	7.1	5.1	8.2	1.7	89.8
Healthcare	1.5	5.8	13.3	1.2	8.9	7.5	1.7	3.2	3.1	0.9	10.5	3.8	61.2
Industrial	7.4	12.2	8.5	8.6	7.4	6.5	1.2	3.9	6.9	2.8	7.9	4.0	77.4
Real Estate	3.1	4.1	1.3	3.1	2.1	2.3	3.2	2.4	2.5	6.0	3.1	1.6	34.7
TMT	1.4	20.6	22.6	7.3	9.2	10.5	5.8	16.8	11.5	7.4	2.1	2.7	117.8
Utility	8.2	1.9	4.8	3.4	3.4	4.3	4.8	4.7	5.6	3.2	1.2	5.9	51.4
Oil & Gas	3.1	2.7	9.7	2.5	5.3	0.1	1.5	2.0	2.8	1.0	1.8	3.5	36.1
Others	3.0	2.1	2.0	2.8	1.8	3.8	2.2	0.9	1.9	1.6	0.5	1.1	23.7

Source: ING, Dealogic

Fig 6 Financial supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	133.7	34.4	45.7	79.8	63.9	59.1	55.1						471.5
of which SNP	91.4	26.0	23.4	61.8	32.4	31.4	42.8						309.1
of which SP	19.9	1.3	13.3	1.2	19.7	15.3	1.8						72.3
of which Capital	22.5	7.1	5.5	12.8	11.1	10.5	8.6						77.9
of which Covered	0.0	0.0	3.5	4.0	0.7	2.0	2.0						12.2
Finance	8.1	13.8	11.9	10.9	7.1	22.9	18.7						93.4
Insurance	9.1	3.2	3.2	5.6	8.8	7.9	1.6						39.4
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	72.7	8.8	31.8	33.4	16.6	37.3	28.0	18.5	40.2	40.0	17.8	54.1	399.0
of which SNP	67.2	8.2	23.9	30.7	10.1	29.3	21.9	17.0	30.7	30.6	12.8	47.0	329.2
of which SP	4.0	0.0	0.8	0.0	0.0	1.6	2.7	0.5	0.8	1.8	1.0	0.0	13.1
of which Capital	1.5	0.0	6.8	2.8	6.2	2.5	1.5	1.0	3.5	3.4	2.5	4.5	36.0
of which Covered	0.0	0.6	0.4	0.0	0.3	4.0	2.0	0.0	5.3	4.3	1.5	2.6	20.9
Finance	11.1	5.9	8.7	3.5	9.9	8.1	5.1	7.6	6.0	9.5	7.0	2.5	85.0
Insurance	4.4	0.5	3.7	7.5	2.8	4.9	2.7	3.1	3.2	1.6	3.2	3.7	41.0

Source: ING, IGM, Dealogic

Fig 7 USD supply, redemptions and net supply by year (US\$bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	482.6	709.3	256.5	452.7	2015	276.5	422.3	246.5	175.8
2016	475.6	697.4	293.4	404.0	2016	264.5	395.7	237.2	158.5
2017	450.0	743.8	355.7	388.1	2017	305.2	425.2	267.3	157.9
2018	386.0	651.5	382.7	268.8	2018	300.9	437.2	283.4	153.8
2019	407.2	700.8	429.9	270.9	2019	236.5	364.3	263.2	101.1
2020	851.5	1168.4	453.3	715.1	2020	367.0	530.2	306.6	223.6
2021	462.6	729.9	478.7	251.2	2021	384.4	642.4	337.3	305.1
2022	373.5	564.9	485.8	79.1	2022	452.7	629.4	468.8	160.7
2023	468.3	649.7	526.0	123.7	2023	333.3	545.7	243.0	302.7
2024	541.5	813.1	468.5	344.5	2024	479.4	704.1	394.0	310.1
2025	494.1	926.5	548.3	378.1	2025	496.0	749.1	475.5	273.6
2026	769.7	769.7	526.2		2026	603.7	603.7	525.1	
2027			554.3		2027			394.8	
2028			608.7		2028			446.9	

Source: ING, IGM, Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	8.6	4.6	5.5	8.0	7.1	5.9	4.8						44.3
T2	13.9	2.5	0.0	4.8	4.0	4.5	3.8						33.5
Bank Capital	22.5	7.1	5.5	12.8	11.1	10.4	8.6						77.8
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	9.6	11.3	0.5	3.7	2.7	3.5	10.3	1.1	9.7	2.3	3.5	4.1	62.0
T2	6.7	4.0	3.7	0.8	0.5	5.5	4.8	4.3	4.8	1.5	1.8	1.4	39.8
Bank Capital	16.3	15.3	4.2	4.5	3.2	9.0	15.1	5.4	14.5	3.8	5.3	5.5	101.8

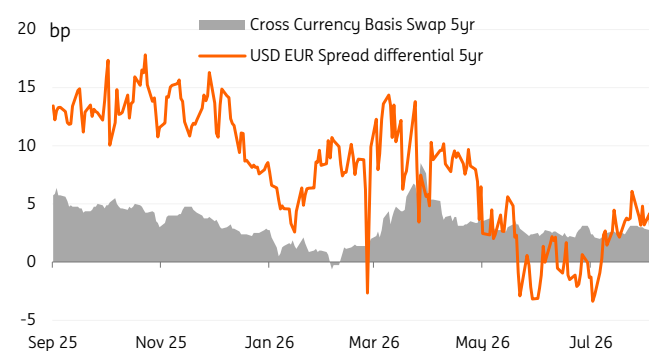
Source: ING, IGM, Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	5.3	18.5	4.7	5.2						74.1
Financial	5.1	11.6	0.3	1.4	1.8	2.9	5.0						28.0
Total	9.2	23.7	24.5	6.7	20.3	7.6	10.2						102.1
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	92.2
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	62.1
Total	11.1	17.6	8.5	20.8	14.1	10.3	10.2	2.1	9.3	7.5	38.6	4.5	154.3

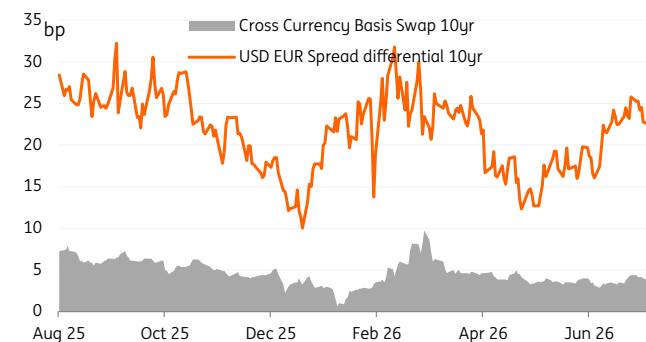
Source: ING, Dealogic

Fig 10 XCCY 5yr



Source: ING, IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING, IHS Markit, Refinitiv

Fig 12 US. Yankee and Reverse Yankee supply (US\$bn)

Corporates	Domestic	Yankee	Rev Yankee (\$)	Financials	Domestic	Yankee	Rev Yankee (\$)
2015	610.3	108.5	62.7	2015	302.8	127.1	28.9
2016	589.1	113.9	65.8	2016	282.5	114.0	45.6
2017	654.9	103.2	65.7	2017	312.8	111.9	35.6
2018	523.8	131.2	32.0	2018	306.7	131.7	18.4
2019	610.1	96.6	98.3	2019	269.7	95.8	29.2
2020	1031.2	152.3	68.9	2020	406.9	125.3	25.3
2021	628.3	108.4	64.5	2021	363.9	278.4	41.5
2022	486.3	90.6	34.0	2022	342.0	287.5	29.8
2023	559.8	106.1	44.0	2023	267.8	278.0	13.1
2024	688.6	144.2	65.3	2024	253.4	109.5	27.0
2025	794.7	145.8	92.2	2025	282.4	118.7	62.1
2026	681.3	106.6	74.1	2026	386.9	265.1	28.0

Source: ING, IGM

Fig 13 ESG supply per month 2026 (US\$bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.5	1.6	0.0	4.6	0.5	1.0	0.7						8.8
Social	0.0	0.0	0.0	0.0	0.0	0.0	0.0						0.0
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0	0.0						0.0
ESG	0.5	1.6	0.0	4.6	0.5	1.0	0.7						8.8
Financial	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	1.0	0.0	0.8	0.5	1.5	1.3	0.0						5.1
Social	1.0	0.5	0.0	0.0	0.0	0.0	0.6						2.1
Sustainable	1.6	0.0	0.0	0.0	0.5	0.0	0.3						2.4
ESG	3.6	0.5	0.8	0.5	2.0	1.3	0.9						9.6

Source: ING, IGM, Dealogic

Fig 14 ESG supply per year and YTD (US\$bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	25.1	13.2	21.1	7.1	8.8	17.1	10.7	19.1	2.5	8.8
Social	0.1	0.1	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0
Sustainable	4.9	1.3	0.0	0.0	0.0	4.9	1.3	0.0	0.0	0.0
ESG	30.0	14.6	21.1	7.1	8.8	22.1	12.1	19.1	2.5	8.8
Financial	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	13.1	27.5	4.5	5.7	5.1	10.5	12.4	2.7	2.0	5.1
Social	3.6	6.3	5.5	4.1	2.1	3.6	2.8	2.0	2.3	2.1
Sustainable	8.7	7.9	10.9	2.2	2.4	4.0	1.6	9.1	1.1	2.4
ESG	25.4	41.7	20.9	11.9	9.6	18.1	16.8	13.8	5.4	9.6

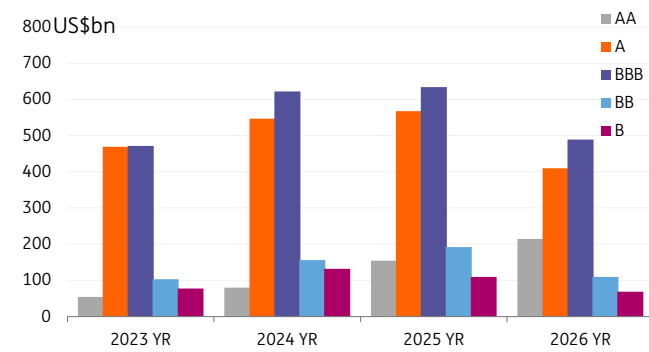
Source: ING, IGM, Dealogic

Fig 15 Corporates and banks issuance by maturity, 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2026
Corp 0-3yr	5.6	18.1	43.7	5.6	16.2	9.7	9.9						108.8
Corp 3-6yr	16.2	24.7	29.0	13.4	22.0	25.8	17.6						148.6
Corp 6-9yr	8.5	18.9	20.8	8.7	10.5	14.3	10.9						92.5
Corp 9-12yr	15.1	37.5	41.8	30.9	26.2	26.3	15.7						193.4
Corp 12-17yr	0.6	4.4	0.2	4.6	1.5	6.6	1.1						19.0
Corp 17yrs+	10.3	40.8	43.2	36.2	21.3	28.0	27.5						207.3
Bank 0-3yr	4.2	0.0	0.0	0	1.8	1.7	0						7.7
Bank 3-6yr	45.9	6.8	22.0	30.3	31	25.1	19.2						180.3
Bank 6-9yr	27.5	9.2	11.0	22.1	16.3	14.7	14.1						114.9
Bank 9-12yr	34.8	7.5	4.8	18.3	6	9.6	10.1						91.1
Bank 12-17yr	6.3	2.8	0.0	0	1.3	0	3.5						13.9
Bank 17yrs+	15.1	6.4	8.0	9.2	7.6	7.4	8.3						62.0
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2025
Corp 0-3yr	6.7	17.0	27.4	6.1	8.7	8.5	1.5	9.4	12.4	7.6	12.2	0.9	118.2
Corp 3-6yr	14.0	16.9	23.0	17.2	18.2	14.2	9.8	14.2	26.5	12.3	23.5	5.1	194.7
Corp 6-9yr	5.2	10.6	14.6	3.1	10.0	5.4	3.9	10.5	14.6	12.0	11.4	3.2	104.5
Corp 9-12yr	19.6	30.0	40.4	14.9	25.7	19.2	10.8	26.3	33.2	20.1	29.3	5.2	274.8
Corp 12-17yr	0.6	2.2	1.0	1.1	0.0	2.0	0.1	1.6	3.2	1.6	1.1	0.2	14.6
Corp 17yrs+	11.0	20.9	25.5	4.7	12.2	8.2	2.3	15.3	32.3	48.7	30.6	8.1	219.7
Bank 0-3yr	0.0	0.8	0.0	1.3	7.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	9.8
Bank 3-6yr	45.0	13.4	22.2	16.1	27.2	18.3	13.3	7.3	18.9	16.5	6.8	3.4	208.4
Bank 6-9yr	27.8	10.9	3.4	14.5	20.2	6.1	9.8	0.5	13.4	16.4	5.0	1.0	128.8
Bank 9-12yr	27.3	11.1	4.8	11.8	6.8	8.4	7.3	6.9	12.8	20.5	2.0	1.4	120.8
Bank 12-17yr	0.0	0.0	1.8	0.0	0.0	0.0	0.0	0.0	1.8	0.0	0.4	0.0	3.9
Bank 17yrs+	13.4	13.3	1.8	3.7	3.2	4.0	10.3	2.4	9.7	2.3	4.7	4.1	72.6

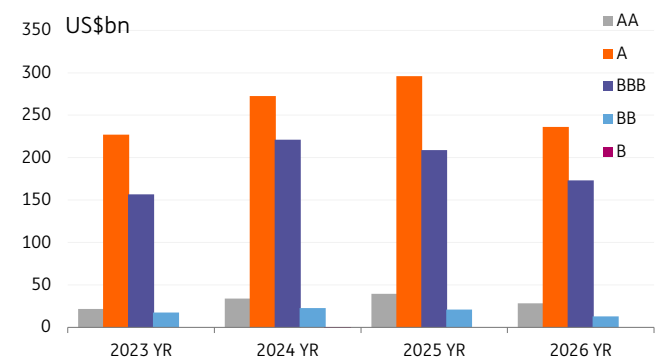
Source: ING, IGM, Dealogic

Fig 16 Corporate supply per S&P rating (US\$bn)



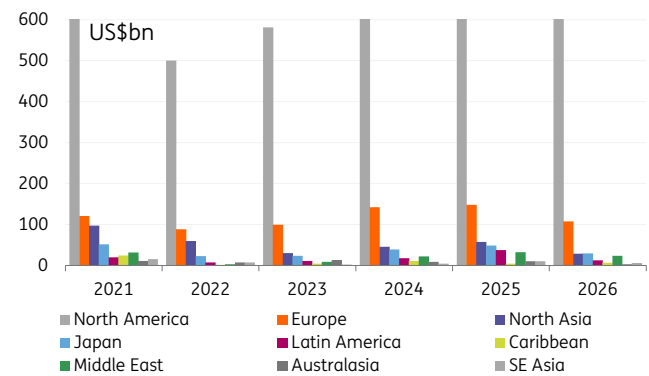
Source: ING, Dealogic

Fig 17 Financial supply per S&P rating (US\$bn)



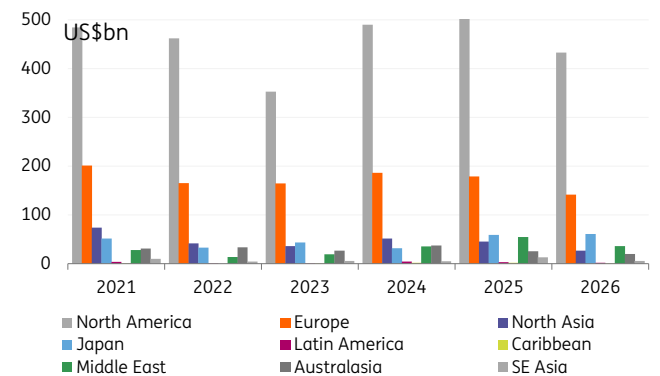
Source: ING, Dealogic

Fig 18 Corporate supply per country (US\$bn)



Source: ING, Dealogic

Fig 19 Financial supply per country (US\$bn)



Source: ING, Dealogic

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4 August 2026
Credit Strategy

Supply for July (€bn)

	Corporates	Financials
July	17.0	13.9

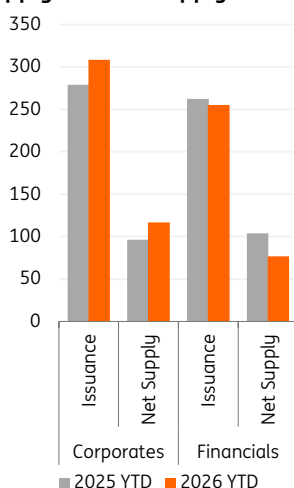
Source: ING, Dealogic

Supply FY and YTD (€bn)

Corporates	FY	YTD
2020	444	328
2021	336	211
2022	252	161
2023	304	197
2024	394	258
2025	455	279
2026	308	308
Financials	FY	YTD
2020	230	167
2021	258	156
2022	276	164
2023	308	215
2024	323	223
2025	414	263
2026	238	238

Source: ING, Dealogic

Supply and Net Supply YTD



Source: ING, Dealogic

Timothy Rahill
Credit Strategist
timothy.rahill@ing.com

Marine Leleux
Sector Strategist, Financials
marine.leleux2@ing.com

Euro Credit Supply

Summer lull shapes corporates and banks' July supply



Corporate Supply slows into the summer lull

- Corporate supply slowed to €17bn in July, from €52bn in June and €23bn in July 2025, reflecting the summer lull. Tight spreads and a 20-25bp rise in all-in yields supported demand overall within credit resulting in continued strong demand in primary. YTD issuance reached €308bn, 11% ahead of last year and second only to 2020. Redemptions of €17.7bn left July net supply at -€0.7bn and YTD net supply at €117bn.
- Utilities (€5.1bn) and TMT (€4.1bn) dominated July and account for 45% of YTD supply. They remain the main sector growth engines, up 45% and 31% YoY, supported by capex, particularly in TMT. Healthcare lags at -55%, while Autos and Oil & Gas saw no July issuance.
- Corporate hybrids paused in July but remain a key YTD driver at €36.1bn, almost double last year's €18.8bn and near the €37.5bn issued in full-year 2025. Refinancing, capex, tight hybrid spreads, M&A and rating defence should support further activity.
- The 3-6yr bucket dominated with €8.1bn, almost half of July supply, while €3.7bn was printed beyond 12 years. Reverse Yankees added €5.2bn, taking YTD supply to €74.1bn, and remain a major driver despite the EUR cost advantage becoming more issuer- and maturity-dependent as USD spreads tightened. ESG issuance added €6.7bn, lifting YTD supply to €71bn, 46% above last year.

The summer also impacts banks' activity on the primary market

- The bank bond supply dropped in all segments of the liability structure in July with a total of €11.6bn printed, down from over €52bn in June. The bulk of last month's supply stands in the senior non-preferred segment with €6.5bn printed while another €3.5bn was issued as senior preferred instruments.
- The most significant MoM issuance drop stems from the covered bond segment where we record only €1bn supplied by a German name. This is a decade low for covered bond issuances in July, even below July 2020, during the global pandemic. Despite the significant dip, covered bond supply remains well on track to reach our full year estimate of €170bn (of which €165bn in benchmark-size bonds), as it totals €126bn in 2026 YTD, up €17bn YoY.
- The senior unsecured bank bond supply is reaching €151bn, split with €52bn in senior preferred and €99bn in senior non-preferred issuances. This represents 65% and 79% of our full year estimates, respectively. The full year completion rate is similar in the bank capital segment with €21bn in Tier 2 instruments and €10bn in AT1 printed in 2026 YTD. That's 68% of the full year estimate for both segments, also still on track.

Fig 1 Euro corporate supply overview (€bn)

	2022	2023	2024	2025	2025 Jul	2026 Jun	2026 Jul	2025 YTD	2026 YTD	% diff
Auto	26	50	56	48	2	8	-	34	36	6%
Consumer	24	50	49	61	3	1	1	34	31	-10%
Healthcare	25	18	35	41	0	1	1	25	11	-55%
Industrial & Chemicals	43	54	71	63	2	7	3	40	37	-8%
Real Estate	24	7	24	38	1	5	3	19	22	14%
TMT	32	43	52	98	9	10	4	61	80	31%
Utility	58	55	69	64	4	11	5	41	59	45%
Oil & Gas	2	9	10	14	-	2	-	11	11	-7%
Others	16	16	26	28	2	6	1	13	22	65%
Corporate Hybrid	12	15	26	38	1	4	-	19	36	92%

Source: ING. Dealogic

Fig 2 Euro financial supply overview (€bn)

	2022	2023	2024	2025	2025 Jul	2026 Jun	2026 Jul	2025 YTD	2026 YTD	% diff
Bank Senior	196	226	198	233	11	24	10	152	151	-1%
of which NPS	73	112	118	149	8	13	7	94	99	5%
of which Pref	123	114	80	83	3	10	4	58	52	-11%
Bank Capital	27	29	56	60	1	5	1	40	31	-23%
Financial Services	37	40	50	95	7	12	3	57	43	-25%
Insurance	16	13	20	25	0	2	0	17	14	-18%
Covered	212	188	159	160	3	23	1	108	126	16%

Note: Dealogic sorts some Banks into the Financial Services sector

Source: ING. Dealogic

Fig 3 Euro corporate supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	37.5	14.2	45.7	10.2	31.6	16.4	2.7	14.7	24.5	23.2	30.3	1.0	251.9
2023	40.2	27.6	25.3	18.0	48.0	26.0	12.1	22.3	32.5	7.8	39.6	4.3	303.5
2024	37.8	41.4	42.2	34.2	54.4	32.1	15.8	30.7	44.3	25.1	32.4	3.7	393.9
2025	36.0	42.8	28.0	31.1	69.1	49.3	22.8	17.4	52.6	27.8	70.1	8.3	455.2
2026	45.3	39.9	50.1	35.8	68.1	52.1	17.0						308.4
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	15.6	-3.0	17.2	-7.7	13.0	-8.9	-11.8	7.8	-2.8	13.3	8.4	-11.6	29.2
2023	18.8	4.1	-5.2	-4.1	26.6	4.5	-3.4	15.1	-4.2	-10.6	18.0	-1.6	58.1
2024	8.8	24.4	18.9	9.7	26.4	12.8	-10.1	29.4	14.1	1.2	13.6	-12.6	136.4
2025	12.6	20.8	-9.9	-2.3	43.5	27.5	4.1	8.4	19.7	14.4	44.4	-5.7	177.5
Redemptions	21.9	18.3	33.4	27.4	38.8	34.1	17.7	12.4	33.8	26.1	28.8	11.7	304.3
2026	23.4	21.6	16.7	8.4	29.2	18.0	-0.7						116.8

Redemptions shown for 2026 only

Source: ING. Dealogic

Fig 4 Euro financial supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	36.6	22.5	28.9	20.8	30.5	18.8	6.0	25.0	24.4	16.0	43.1	3.8	276.5
2023	68.1	25.6	16.2	25.2	36.6	31.3	8.9	17.2	36.6	14.5	26.6	2.5	309.1
2024	56.9	26.4	34.3	29.3	33.6	19.2	21.1	19.0	40.8	19.8	17.5	4.3	322.2
2025	57.4	42.1	34.0	22.9	50.6	33.6	21.5	29.8	34.8	27.0	49.5	10.5	413.6
2026	59.6	44.7	11.8	23.2	43.4	42.0	13.9						238.5
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	2.2	1.8	6.0	2.7	16.7	4.2	-5.1	15.1	-0.1	-0.9	30.7	-8.1	65.1
2023	49.9	17.7	-10.9	11.7	18.2	11.8	-6.9	8.7	15.5	-2.9	13.9	-3.1	123.6
2024	39.9	12.2	21.2	10.1	6.1	-4.8	6.9	14.5	24.1	11.2	7.9	-2.9	146.4
2025	26.2	23.1	7.3	1.8	28.2	13.8	2.5	22.2	16.7	14.4	27.9	2.4	186.4
Redemptions	32.9	21.4	24.6	17.4	28.5	30.0	13.2	3.8	33.1	22.2	28.1	9.1	264.1
2026	26.8	23.3	-12.8	5.8	14.9	12.0	0.7						70.6

Covered Bonds excluded from aggregate throughout. Redemptions shown for 2026

Source: ING. Dealogic

Fig 5 Corporate supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Autos	7.1	2.5	5.1	2.2	11.2	8.5	0.0						36.5
Consumer	4.7	5.9	8.7	4.2	6.2	0.9	0.5						31.1
Healthcare	0.0	0.0	0.5	5.9	3.3	0.7	1.0						11.4
Industrial	3.0	3.4	8.6	3.2	8.7	7.3	2.7						36.8
Real Estate	4.5	1.9	0.8	4.1	2.3	5.3	3.1						21.9
TMT	9.2	11.8	16.7	5.1	23.2	9.7	4.1						79.6
Utility	14.4	9.2	3.2	7.8	8.0	11.3	5.1						58.9
Oil & Gas	1.0	1.5	3.0	0.8	2.0	2.4	0.0						10.7
Others	1.6	3.9	3.7	2.7	3.3	6.1	0.5						21.6
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Autos	4.6	3.6	4.5	3.4	5.9	3.9	4.4	4.2	3.9	3.3	5.2	0.3	46.9
Consumer	2.4	3.1	6.0	3.4	6.4	4.0	0.6	2.1	3.3	2.2	2.2	0.2	35.8
Healthcare	2.5	0.8	3.6	0.0	4.1	3.6	0.6	1.0	5.5	2.6	2.8	1.1	28.1
Industrial	1.7	0.9	6.6	7.5	7.9	4.4	5.2	0.5	5.9	4.3	7.9	1.0	53.5
Real Estate	5.3	1.2	2.8	1.9	2.4	3.4	3.1	1.1	1.8	1.0	2.0	0.7	26.4
TMT	1.2	3.1	4.9	5.6	4.6	3.3	1.6	1.8	8.0	2.8	3.4	2.4	42.4
Utility	3.3	1.1	2.2	3.7	5.2	4.7	1.0	1.6	1.9	7.1	2.9	3.7	38.2
Oil & Gas	0.5	3.6	2.6	1.0	1.8	0.0	0.0	0.0	0.9	1.0	0.6	1.5	13.4
Others	0.7	1.2	0.3	1.0	0.7	6.8	1.4	0.1	2.8	2.0	1.8	0.8	19.5

Source: ING. Dealogic

Fig 6 Financial supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Bank Senior	40.8	29.7	5.8	15.5	25.7	23.6	10.0						150.9
of which NPS	26.0	25.8	3.0	10.9	13.9	13.3	6.5						99.3
of which Pref	14.8	4.0	2.8	4.6	11.8	10.3	3.5						51.6
Bank Capital	8.8	4.3	0.0	3.2	9.0	5.1	0.5						30.8
Financial Services	6.2	8.5	5.4	2.8	5.1	11.0	3.4						42.4
Insurance	3.9	2.2	0.6	1.8	3.6	2.3	0.0						14.4
Covered	29.3	25.2	11.5	15.9	19.2	23.5	1.1						125.6
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Bank Senior	20.9	16.5	14.5	12.8	12.7	19.5	9.8	2.5	21.5	17.2	17.8	6.3	171.7
of which NPS	6.5	8.0	5.5	5.5	6.5	13.3	7.1	0.0	13.4	12.2	7.8	3.5	89.1
of which Pref	14.4	8.5	9.0	7.3	6.2	6.3	2.8	2.5	8.1	5.0	10.0	2.8	82.7
Bank Capital	4.1	1.3	6.3	1.6	9.4	5.2	0.2	0.0	3.8	1.1	3.3	1.3	37.3
Financial Services	7.1	3.3	3.8	2.3	2.6	5.3	1.9	1.3	6.0	2.9	6.3	1.6	44.5
Insurance	0.8	0.3	0.0	0.8	3.8	0.0	1.3	0.0	1.9	1.1	0.7	0.0	10.7
Covered	20.1	20.4	17.7	13.1	6.0	11.0	11.1	8.5	16.3	18.6	9.0	3.9	155.4

Source: ING. Dealogic

Fig 7 Euro supply, redemptions and net supply by year (€bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	190	276	122	154	2015	177	258	321	-63
2016	191	306	144	162	2016	179	234	262	-28
2017	215	326	155	171	2017	148	224	269	-45
2018	176	282	157	125	2018	153	225	182	43
2019	223	392	170	222	2019	167	267	186	81
2020	328	444	201	242	2020	167	230	192	38
2021	211	336	213	123	2021	156	258	169	89
2022	161	252	223	29	2022	164	276	211	65
2023	197	304	245	58	2023	215	309	185	124
2024	258	394	258	136	2024	223	322	176	146
2025	279	455	278	177	2025	263	414	227	186
2026	308	308	304		2026	238	238	264	
2027			318		2027			263	
2028			307		2028			259	
2029			291		2029			242	

Source: ING. Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	1.7	3.5	0.0	0.8	3.3	1.1	0.0						10.3
T2	7.1	0.8	0.0	2.4	5.8	4.0	0.5						20.5
Bank Capital	8.8	4.3	0.0	3.2	9.0	5.1	0.5						30.8
Corp Hybrids	7.6	9.5	4.9	9.6	0.9	3.7	0.0						36.2
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	1.7	3.7	2.1	0.0	5.7	2.4	0.0	0.0	2.5	0.6	5.7	0.0	24.3
T2	6.6	6.0	2.5	0.7	3.5	3.8	1.4	5.0	0.5	0.8	4.8	0.0	35.4
Bank Capital	8.3	9.7	4.6	0.7	9.2	6.2	1.4	5.0	3.0	1.4	10.4	0.0	59.7
Corp Hybrids	4.8	0.0	1.7	0.9	5.9	4.6	1.0	0.5	6.1	4.2	7.4	0.6	37.5

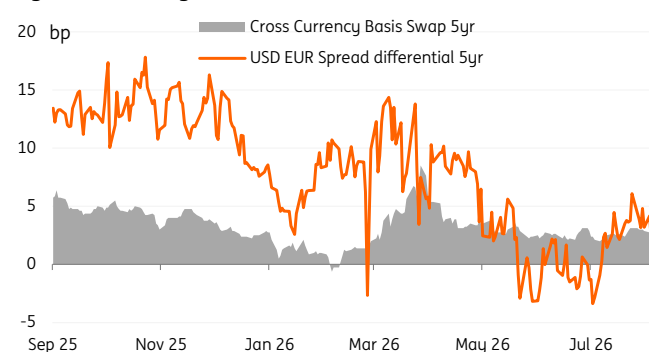
Source: ING. Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	5.3	18.5	4.7	5.2						74.1
Financial	5.1	11.6	0.3	1.4	1.8	2.9	5.0						28.0
Total	9.2	23.7	24.5	6.7	20.3	7.6	10.2						102.1
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	62.1
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	154.3
Total	11.1	17.6	8.5	20.8	14.1	10.3	10.2	2.1	9.3	7.5	38.6	4.5	216.5

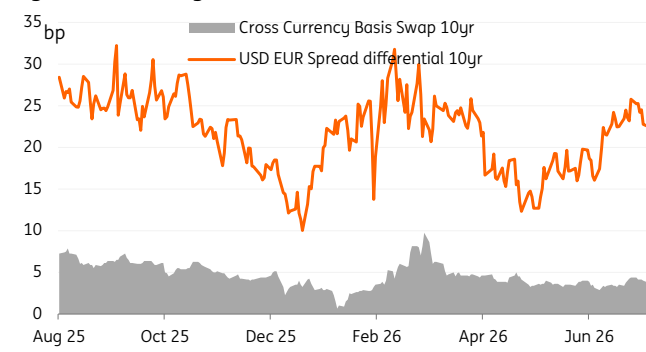
Source: ING. Dealogic

Fig 10 XCCY 5yr



Source: ING. IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING. IHS Markit, Refinitiv

Fig 12 European. Yankee and Reverse Yankee supply (€bn)

Corporates	European	Yankee (US\$)	Rev Yankee	Financials	European	Yankee (US\$)	Rev Yankee
2015	145.6	108.5	62.7	2015	145.9	127.1	28.9
2016	173.7	113.9	65.8	2016	133.3	114	45.6
2017	192.2	103.2	65.7	2017	129.1	111.9	35.6
2018	181.1	131.2	32.0	2018	126.2	131.7	18.1
2019	231.1	96.6	98.3	2019	171.6	95.8	28.8
2020	283.1	152.3	68.9	2020	152.6	125.3	25.3
2021	182.2	108.4	64.5	2021	137.8	167	41.5
2022	161.0	90.6	34.0	2022	165.8	147.3	29.8
2023	190.1	106.1	44.0	2023	210.3	150.4	13.1
2024	233.0	144.2	65.3	2024	200.7	167.2	27.1
2025	259.3	145.8	92.2	2025	217.2	164.6	62.1
2026	169.2	106.6	74.1	2026	158.0	127.2	23.2

Source: ING

Fig 13 ESG supply per month 2026 (€bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	13.1	6.7	3.8	7.3	9.5	16.4	6.7						63.5
Social	1.8	0.0	0.0	1.0	0.0	0.9	0.0						3.7
Sustainable	0.9	0.5	0.1	0.0	1.4	1.0	0.0						3.8
ESG	15.7	7.2	3.9	8.3	10.9	18.3	6.7						71.0
Financial	Jan	Feb	Mar	Apr	May	June	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	6.4	9.3	2.5	5.9	11.8	10.6	0.5						46.9
Social	1.8	0.5	0.0	0.0	0.0	0.0	0.5						2.8
Sustainable	0.0	0.0	0.0	0.0	0.8	0.0	0.5						1.3
ESG	8.1	9.8	2.5	5.9	12.6	10.6	1.5						50.9
Covered	Jan	Feb	Mar	Apr	May	June	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.0	2.3	1.5	1.1	2.0	2.5	0.0						9.4
Social	0.0	1.0	0.0	0.0	0.6	0.0	0.0						1.6
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0	0.0						0.0
ESG	0.0	3.3	1.5	1.1	2.6	2.5	0.0						11.0

Source: ING. Dealogic – classified as ESG under Dealogic

Fig 14 ESG supply per year and YTD (€bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	61.7	64.1	87.6	78.0	63.5	38.5	38.8	57.1	42.2	63.5
Social	3.1	0.5	5.0	2.4	3.7	2.4	0.5	4.9	2.4	3.7
Sustainable	4.3	0.6	2.8	4.7	3.8	2.6	0.1	2.0	3.9	3.8
ESG	69.1	65.3	95.4	85.1	71.0	43.5	39.4	63.9	48.5	71.0
Financial	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	40.6	47.4	46.3	51.1	46.9	21.9	32.3	28.0	24.0	46.9
Social	5.3	7.8	6.8	9.0	2.8	2.0	4.5	3.1	5.8	2.8
Sustainable	0.8	3.1	1.7	2.3	1.3	0.3	1.3	1.0	1.3	1.3
ESG	46.7	58.2	54.8	62.4	50.9	24.2	38.0	32.1	31.0	50.9
Covered	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	16.8	47.1	11.3	12.5	9.4	9.5	47.1	9.5	9.3	9.4
Social	2.6	22.7	6.4	3.6	1.6	2.6	22.7	2.6	2.4	1.6
Sustainable	0.5	0.0	0.5	1.6	0.0	0.5	0.0	0.0	1.0	0.0
ESG	19.9	69.8	18.1	17.7	11.0	12.6	69.8	12.1	12.6	11.0

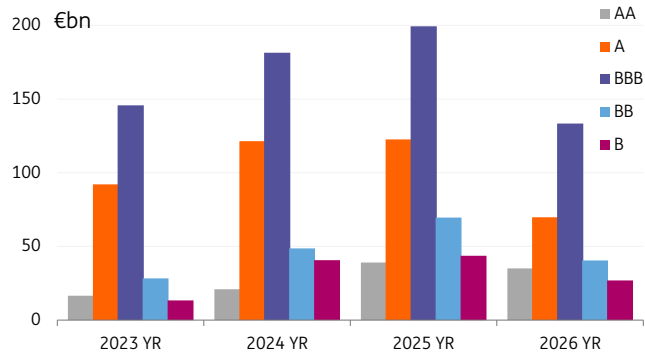
Source: ING. Dealogic – classified as ESG under Dealogic

Fig 15 Investment grade issuance by maturity, 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
Corp 0-3yr	6.0	3.4	7.0	3.0	11.0	6.2	1.0						37.6
Corp 3-6yr	8.0	6.5	11.2	5.2	20.1	12.9	8.1						72.0
Corp 6-9yr	13.4	9.9	10.9	11.2	23.0	16.4	3.5						88.3
Corp 9-12yr	3.6	5.4	8.1	3.6	5.5	8.1	0.7						34.9
Corp 12yrs+	14.5	14.7	12.9	12.7	8.5	8.6	3.7						75.6
Bank 0-3yr	3.5	6.3	1.3	0.0	2.0	6.6	1.8						21.4
Bank 3-6yr	21.2	11.7	2.8	12.2	15.3	10.2	6.5						79.7
Bank 6-9yr	6.5	6.3	1.8	3.3	7.9	7.0	1.8						34.4
Bank 9-12yr	17.4	6.5	0.0	3.2	9.5	5.0	0.5						42.0
Bank 12yrs+	1.0	3.3	0.0	0.0	0.0	0.0	0.0						4.3
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
Corp 0-3yr	4.1	3.5	2.1	1.9	9.6	5.3	2.4	3.6	10.2	1.2	7.9	2.2	53.8
Corp 3-6yr	7.4	7.3	7.4	4.5	15.8	10.5	5.3	1.9	10.7	4.9	11.5	3.2	90.3
Corp 6-9yr	10.3	16.1	9.8	12.1	17.3	19.8	5.6	6.0	16.0	12.4	17.4	2.3	144.9
Corp 9-12yr	4.9	5.4	5.5	4.7	12.2	5.2	2.4	2.4	4.9	1.7	9.2	0.0	58.4
Corp 12yrs+	9.3	10.5	3.2	8.1	14.2	8.6	7.3	3.5	10.7	7.7	24.1	0.6	107.8
Bank 0-3yr	10.6	3.5	4.5	2.5	0.3	2.9	1.3	2.0	1.3	1.0	2.0	3.3	35.1
Bank 3-6yr	18.8	9.3	9.6	7.9	17.2	13.0	6.7	4.8	7.8	8.2	14.8	2.4	120.4
Bank 6-9yr	13.0	9.4	3.6	0.5	7.8	0.8	1.0	5.8	9.3	5.4	7.9	0.0	64.3
Bank 9-12yr	10.3	13.8	3.5	5.9	7.0	7.8	3.2	9.3	4.8	3.3	7.5	0.0	76.2
Bank 12yrs+	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.0	0.0	1.0

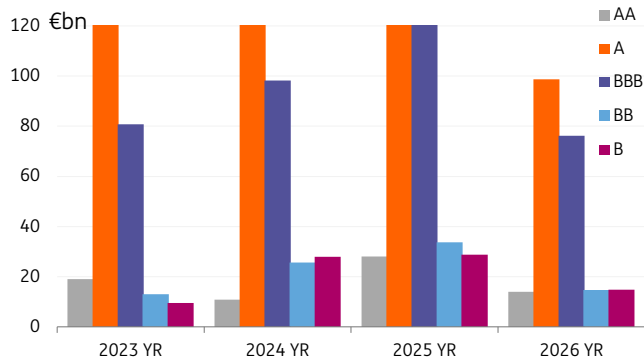
Source: ING. Dealogic

Fig 16 Corporate supply per S&P rating (€bn)



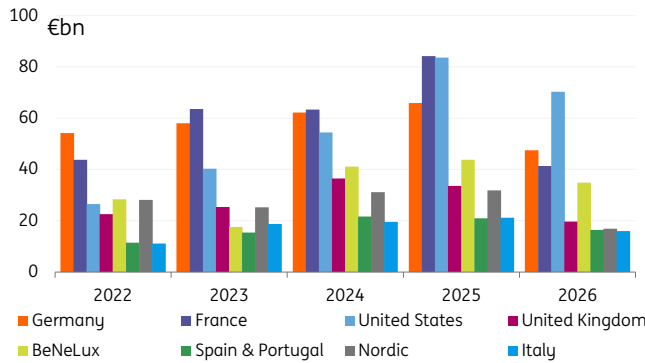
Source: ING. Dealogic

Fig 17 Financial supply per S&P rating (€bn)



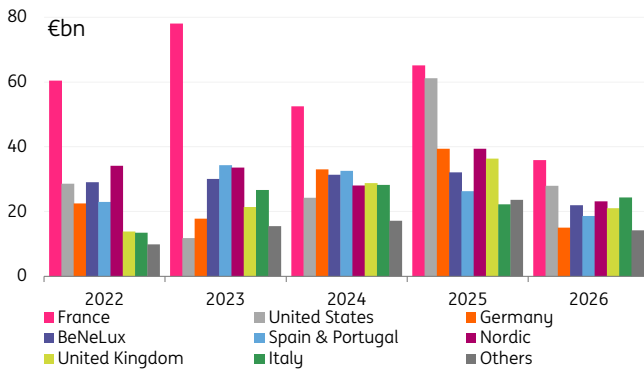
Source: ING. Dealogic

Fig 18 Corporate supply per country (€bn)



Source: ING. Dealogic

Fig 19 Financial supply per country (€bn)



Source: ING. Dealogic

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FX

FX Daily: Bessent provides more rationale for yen intervention

Expectations of another ceasefire in the Gulf and lower oil prices have seen market rates drop and equities rally. A risk-on environment would normally see the dollar come lower, but uncertainty about Fed policy and a healthy US economy are keeping the dollar supported. US Treasury Secretary Scott Bessent has provided more colour on FX intervention



US Treasury Secretary Scott Bessent has shed more light on the recent joint intervention to support the yen

➔ USD: Dollar is holding up quite well

Financial markets are experiencing one of their periodic pro-risk turns. Reports suggest a new US-Iran ceasefire deal could be announced today, allowing traffic to transit the Strait of Hormuz for 60 days without a fee. Oil prices have been trading off that story all week, bringing Brent below \$80/bl and delivering lower market interest rates and higher equity prices around the world.

The above dynamic would normally be associated with a weaker dollar, as investors put money to work outside the US. But that's not quite the case. DXY dollar index continues to

trade near 100, which probably owes to lingering fears that the Fed might still hike on 16 September. Lower oil prices and perhaps some slightly softer JOLTS jobs data have seen pricing for that Fed move drop to +14bp from +16/17bp at the start of the week.

While Friday's US July jobs report is still the biggest macro driver this week, there will still be focus on today's ISM services release and the monthly ADP numbers. Regional surveys suggest the former should remain strong and an ADP release near consensus of +65k looks unlikely to hit the dollar too hard. Overall, we can probably see DXY trading in a tight 99.50-100.00 trading range today.

Elsewhere, Treasury Secretary Scott Bessent yesterday provided some colour to the recent participation in joint intervention on the yen. One of his points, which we did not cover in our [review](#), was that yen weakness could trigger competitive devaluations in the region. This harks back to some of the hot topics in last year's [Mar-a-Lago accord](#) discussions, where undervalued Asian currencies were blamed for the hollowing out of the US manufacturing sector. His comments also seemed to imply a quid pro quo had been made with the Bank of Japan, where, in exchange for intervention, the BoJ would hike earlier than expected in September. Chances of an earlier BoJ hike have been marked sharply higher this week. USD/JPY may well have put in a significant top at 164, but cementing it will require both faster BoJ tightening and the Fed avoiding a hike.

Chris Turner

↑ **EUR: Lacklustre**

Despite better-than-expected hard eurozone data last week and a decent fall in energy prices this week, EUR/USD has struggled to make much headway on the upside. Perhaps that is a function of drought conditions in Europe and low water levels, which are hitting [industrial river traffic](#). Nevertheless, as a pro-growth currency, the global equity rally and buoyant investment trends should be helping the euro. Here, a move through 1.1550/60 today could open up 1.1615/20.

There may also be a case for a slightly stronger Swedish krona right now. The krona had been punished for the Riksbank's dovishness in a world of higher interest rates. This week's drop in energy and rates could see EUR/SEK correcting back to the 10.90 area.

Chris Turner

↓ **CZK: Lower inflation to ease CNB hike pricing**

July inflation in the Czech Republic is due today, and we expect headline CPI to rise from 1.5% to 1.7% year-on-year, mainly on higher fuel prices. However, core inflation will remain the key focus, as it was one of the reasons behind the Czech National Bank's June rate hike. The flash estimate offers limited detail, and unless inflation delivers a significant surprise, the market

impact should be limited given ongoing geopolitical developments and tomorrow's CNB meeting, where a new forecast will also be presented.

Our forecast of 1.7% headline inflation and 2.8% core inflation should ease hawkish market expectations and soften the CNB's hawkish rhetoric, which remains our baseline. The market is still pricing in two rate hikes, but unless inflation surprises to the upside, tomorrow's CNB meeting should deliver a more dovish outcome than current pricing implies. Together with lower oil prices, this should lead the market to price out at least one hike. That should put some pressure on the koruna, which has recently underperformed its CEE peers for the reasons outlined above, and we expect this trend to continue as market pricing turns more dovish. This should keep EUR/CZK closer to 24.200.

Frantisek Taborsky

BRL: Another 25bp rate cut expected from BACEN today

Brazil's central bank, BACEN, is widely expected to cut the policy rate by 25bp to 14.00% today. It feels that last year's 450bp rate hike to 15% did enough to slow inflation and is now unwinding that tightening. With Brazil's IPCA inflation running at 4.5% year-on-year, today's rate cut will still leave the real policy rate at a staggering 10% and will continue to encourage carry trade inflows into the Brazilian real.

Political risk in the form of Brazil's presidential election in October poses the biggest risk to the real. Neither candidate, President Lula nor Flavio Bolsonaro, seems serious about fiscal austerity. Yet investors are offered substantial compensation for holding the Brazilian real, and we expect it to continue outperforming the steep USD/BRL forward curve.

Chris Turner

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

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